WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

IRAN

Middle East

Information current as of October 2026

Dialogue | Trust | Partnership

office@lordwaverley.com
www.lordwaverley.com

WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Tehran	Capital and seat of the Supreme Leader's office, the presidency, the Central Bank of Iran and the main ministries; Iran's largest consumer market	Consumer goods, healthcare, services (all subject to sanctions perimeter)
Strait of Hormuz / Bandar Abbas	Iran's principal maritime gateway on a strait that carried around 17 million barrels a day of oil before the war; now the focus of a US naval blockade of Iranian ports and repeated attacks on shipping	Port logistics, shipping (currently closed to compliant Western business)
Khuzestan and the Gulf coast oil and gas belt	Core of Iran's hydrocarbon base: the country holds the world's second-largest natural gas and fourth-largest proven oil reserves	Oil, gas, petrochemicals (prohibited under US, EU and UK sanctions)
Kish and Qeshm Free Trade Zones (Persian Gulf)	Island free zones with their own authorities, offering 20-year tax exemptions, customs exemptions and unrestricted foreign shareholding	Trade, tourism, light industry (sanctions apply in full)
Chabahar (Sistan-Baluchestan, Gulf of Oman)	Free zone and port outside the Strait of Hormuz where India invested about $120 million in the Shahid Beheshti terminal; its US sanctions waiver ran only to April 2026	Port logistics, transit to Afghanistan and Central Asia
Caspian and north-west (Anzali, Aras, Maku Free Zones)	Northern gateways linking Iran to the Eurasian Economic Union, with which a full free trade agreement has applied since May 2025	Agro-processing, regional trade, logistics
Arvand Free Zone (Shatt al-Arab, Iraq border)	Free zone on the Iraqi border serving cross-border trade	Regional trade, logistics

INVESTOR ENTRY ROUTES

- Sanctions licensing route: US persons are barred from virtually all dealings under the Iranian Transactions and Sanctions Regulations, and since 10 September 2026 OFAC applies a presumption of denial to Iran-related specific licences except where required by law or in cases such as risk to life or environmental safety
- Humanitarian channels: limited authorisations for food, agricultural commodities, medicine, medical devices and NGO work (including Iran General Licenses 8A and E), to be confirmed with counsel because OFAC suspended several other general licences in August and September 2026

- UN, EU and UK regimes: UN sanctions were reimposed on 28 September 2025; EU Regulation 2025/1975 restores bans on Iranian oil, gas and petrochemicals, related finance and insurance, and unauthorised fund transfers; the UK has reimposed asset freezes and nuclear-related controls
- Foreign Investment Promotion and Protection Act (FIPPA), administered by OIETAI, offering on paper national treatment, protection against expropriation and transfer of capital and profits, although sanctions currently prevent Western use of these guarantees
- Free Trade Zones (Kish, Qeshm, Chabahar, Aras, Anzali, Arvand, Maku) with 20-year tax holidays and customs exemptions, all fully within the scope of US, EU, UK and UN sanctions
- Currency regime: the rial has fallen to around 2.69 million per dollar on the open market (3 October 2026), and the Central Bank of Iran is itself designated under US sanctions, so repatriation through formal channels is not available to Western investors
- Normalisation-readiness route: building knowledge, compliance frameworks and lawful relationships so that investors can act promptly if and when sanctions are lawfully eased

MARKET-ENTRY OBSERVATION

Iran has long-term fundamentals that few markets can match: a population of over 80 million, a well-educated workforce, a substantial domestic market and the world's second-largest natural gas and fourth-largest proven oil reserves. In October 2026, however, the economy is in a deep wartime contraction. The IMF's October 2026 World Economic Outlook projects real GDP to shrink 7.6% in 2026. The Statistical Center of Iran reported point-to-point inflation of 89.8% and annual inflation of 73.6% in September 2026, and the rial reached a record low of around 2.69 million per dollar on 3 October, from about 1.75 million when the war began on 28 February. Oil, the main source of export revenue, has been hit hardest: Iran exported around 2 million barrels a day of crude, condensate and products in 2025, but terminal loadings had fallen to about 640,000 barrels a day by May 2026 under the US blockade, with China its only major buyer.

Iran's defining challenge for international investors is the combination of comprehensive sanctions and active conflict. UN sanctions were reimposed through the snapback mechanism on 28 September 2025, followed immediately by restored EU and UK measures. The US–Israeli strikes that began on 28 February 2026 killed Supreme Leader Ali Khamenei, who was succeeded on 8 March by Mojtaba Khamenei. An April ceasefire and the June Islamabad Memorandum both broke down, the US has reinstated its naval blockade of Iranian ports, and October 2026 has seen the highest number of attacks on shipping since the war began, although Hormuz oil flows recovered to about 68% of pre-war levels in the week to 13 October. Washington has also tightened its sanctions, adding aviation, shipping, gold, technology, digital-asset, automotive and rail sectors to its secondary-sanctions determinations and suspending several general licences. For compliant investors, the opportunity is limited to licensed humanitarian trade where each home jurisdiction permits it, and to long-term readiness for a market of considerable scale should a lawful settlement be reached.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
US primary and secondary sanctions	The ITSR prohibit almost all US-person dealings with Iran, and secondary sanctions under EO 13902 now reach non-US firms in finance, energy, shipping, aviation, gold, technology, digital assets, automotive and rail	Engage specialist sanctions counsel in every relevant jurisdiction and confine activity to clearly authorised humanitarian trade; no new investment is currently possible for Western investors
UN snapback, EU and UK measures	UN sanctions reimposed on 28 September 2025 bind all UN member states; the EU bans Iranian oil, gas and petrochemical trade, related finance and unauthorised fund transfers, and the UK has reimposed nuclear-related measures	Screen every counterparty against UN, EU, UK and US lists and rely only on documented exemptions or licences
Active conflict and Strait of Hormuz security	The war that began on 28 February 2026 continues, with a US blockade of Iranian ports and at least 12 ships attacked in the week to 16 October	Avoid physical exposure in Iran and the Gulf shipping lanes; monitor UKMTO and OFAC shipping alerts and maintain contingency plans for any permitted supply chains

Issue	Potential Impact	Possible Mitigation
Tighter US licensing policy	OFAC moved to a presumption of denial for specific licences on 10 September 2026 and suspended general licences covering remittances, education, conferences and civil aviation	Confirm the current status of any humanitarian authorisation before transacting; build longer lead times into any licence application
Banking and payment channels	The Central Bank of Iran and NIOC are designated, and US authorities have acted against foreign banks serving Iranian institutions, including in Türkiye and the UAE	Use only screened banks with explicit authorisation for each payment; never route payments through intermediaries to obscure an Iranian nexus
Economic contraction, inflation and the rial	The IMF projects a 7.6% contraction in 2026, inflation exceeds 70% and the rial has lost more than a third of its value since February	Price humanitarian contracts in hard currency with secured, licensed payment terms; treat the economy's scale and human capital as a long-term reconstruction opportunity
Uncertain timing of any settlement	The June Islamabad Memorandum collapsed in July, and mediation through Pakistan and Qatar has yet to produce a breakthrough	Prepare scenarios for continued restrictions and for phased, lawful easing, so that decisions can be taken quickly when the legal position changes

INVESTOR RISK NOTE

Iran is, in October 2026, a market that Western investors cannot currently enter. Comprehensive US sanctions, the UN sanctions reimposed in September 2025 and restored EU and UK measures prohibit new investment and most trade, and the 2026 war, the US blockade of Iranian ports and attacks on shipping in the Strait of Hormuz add direct physical and logistical risk. US measures have tightened further since August 2026, extending secondary-sanctions exposure to non-US firms in many sectors and narrowing licensing. Every engagement should therefore start with specialist sanctions advice in each relevant jurisdiction. Within those limits, lawful humanitarian trade in food, agricultural commodities, medicine and medical devices may be possible where authorised. Looking further ahead, Iran's 80-million-plus population, educated workforce, hydrocarbon reserves and Eurasian trade links mean that any lawful settlement would create one of the region's largest reconstruction and investment opportunities, and investors who build knowledge and compliance readiness now will be best placed to respond.

MARKET ACCESS

Iran is not a member of the WTO; its accession working party has existed since May 2005 without completing. It became a full member of the Shanghai Cooperation Organisation in July 2023 and of BRICS on 1 January 2024, and its full free trade agreement with the Eurasian Economic Union, in force since 15 May 2025, covers about 90% of goods traded with Russia, Kazakhstan, Belarus, Armenia and Kyrgyzstan. China has been the only major buyer of Iranian oil, which in 2025 accounted for around two million barrels a day of exports; those flows have fallen sharply under the US blockade. Iran's geography gives it potential corridor roles, including the Chabahar port link to Afghanistan and Central Asia and northern routes to the Caspian and EAEU, but these routes are constrained by sanctions, by the expiry of the US waiver for India's Chabahar operations in April 2026 and by insecurity in and around the Strait of Hormuz.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the Supreme Leader (Mojtaba Khamenei)	Ultimate authority over security, foreign and economic policy since 8 March 2026; reports indicate he has not appeared in public since his appointment	Monitor only, as the key signal for any change in Iran's negotiating position
Office of the President (Masoud Pezeshkian)	Heads the government and signed the June 2026 Islamabad Memorandum with the US	Reference point for the economic agenda and any future diplomatic track
US Treasury (OFAC), UK OFSI / FCDO and	Set and license the sanctions perimeter	Primary point of contact for licences,

Actor	Why It Matters	Waverley Engagement Angle
EU national competent authorities	within which any Western engagement must take place	guidance and compliance questions
Organization for Investment, Economic and Technical Assistance of Iran (OIETAI)	State body administering foreign investment under FIPPA	Relevant only for long-term readiness research; no dealings without legal clearance
Central Bank of Iran	Monetary authority managing the rial and foreign-exchange sales; designated under US sanctions, with Iran GL 8A covering certain humanitarian trade involving it	No engagement without explicit licence; monitor for currency and inflation trends
National Iranian Oil Company (NIOC)	State owner of the world's fourth-largest proven oil reserves and second-largest gas reserves; designated under US sanctions	Monitor only; relevant to future energy normalisation
Free Trade Zone authorities (Kish, Qeshm, Chabahar and others)	Autonomous authorities that issue permits and set incentives within each zone	Relevant only for readiness research, as zone activity remains fully subject to sanctions

CURRENT INTERNATIONAL BUSINESS CHANNELS

Western business channels with Iran are, for now, largely confined to information, compliance and humanitarian work. The British Iranian Chamber of Commerce remains a reference point for UK businesses on zone regimes and the investment framework, and home-country sanctions authorities, trade ministries and sanctions counsel are the essential first channel for any question about permitted activity. Mediation by Pakistan and Qatar is the main diplomatic track to watch, and any settlement emerging from it would be the trigger for broader business-council, chamber and development-finance engagement. Investors should treat Iranian state promotion events and offers of facilitation with caution until counsel has confirmed that participation is lawful in their jurisdiction.

INVESTOR PROFILE BEST SUITED

In current conditions Iran suits only a narrow group of participants: established suppliers of food, agricultural commodities, medicine and medical devices with robust sanctions-compliance programmes and authorisation from their home jurisdictions; humanitarian NGOs operating under applicable licences; and long-horizon investors, advisers and research teams building normalisation-readiness without making commitments. Investors from jurisdictions outside the US, EU and UK should note that UN sanctions bind all member states and that US secondary sanctions now reach non-US firms across most major sectors. Should a lawful settlement come, Iran's scale, human capital, energy reserves and reconstruction needs would make it relevant to infrastructure, energy, healthcare, consumer and logistics investors.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Obtain specialist sanctions advice in every relevant jurisdiction
Before any Iran-related activity, confirm with counsel the current US, UN, EU and UK position, including OFAC's September 2026 licensing changes and EO 13902 sector determinations.

STEP 2: Confine any activity to clearly authorised humanitarian trade
Food, agricultural commodities, medicine and medical devices may be possible only under specific authorisations; document licence coverage for every transaction and payment.

STEP 3: Screen counterparties, banks and shipping for secondary-sanctions exposure
Check all parties against current designation lists, use only explicitly authorised payment channels, and follow OFAC and UKMTO alerts on the Strait of Hormuz.

STEP 4: Track diplomacy and the security situation
Monitor mediation through Pakistan and Qatar, the US blockade and Hormuz shipping conditions as the leading indicators of any change in the legal position.

STEP 5: Build normalisation readiness without commitments
Develop market knowledge and scenario plans, but avoid negotiations, contingent contracts or pre-commitments unless counsel confirms they are permitted.